



Time Series Analysis

Chapter 14: Multivariate GARCH models



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Acronyms used in this material

- ▣ AI: Artificial Intelligence
- ▣ BEKK: Baba–Engle–Kraft–Kroner (multivariate GARCH model)
- ▣ BET: Bucharest Exchange Trading (index)
- ▣ BNR: Banca Națională a României (the National Bank of Romania)
- ▣ CCC: Constant Conditional Correlation (model)
- ▣ CEE: Central and Eastern Europe
- ▣ CET: Central European Time
- ▣ COVID-19: COronaVirus Disease 2019
- ▣ DCC: Dynamic Conditional Correlation
- ▣ EODHD: EOD Historical Data (market-data provider)
- ▣ EU: European Union
- ▣ FHS: Filtered Historical Simulation
- ▣ GARCH: Generalised AutoRegressive Conditional Heteroskedasticity
- ▣ LR: Likelihood Ratio (test)
- ▣ MGARCH: Multivariate GARCH
- ▣ OLS: Ordinary Least Squares
- ▣ QML: Quasi-Maximum Likelihood
- ▣ SE: Standard Error
- ▣ US: United States
- ▣ UTC: Coordinated Universal Time (Temps Universel Coordonné)
- ▣ VAR: Vector AutoRegression
- ▣ VEC: Vector (half-vectorised) GARCH model
- ▣ VECM: Vector Error Correction Model

Why this chapter

- **Question:** how do the risks of several assets move **together**? [Chapter 5](#) modelled the volatility of one series at a time
 - ▶ the risk of a portfolio, a hedge or the spread of a crisis depends on **covariances and correlations**, and these change in time
- **Route** of the chapter
 - ▶ the conditional covariance matrix H_t and its conditions
 - ▶ the VEC and BEKK models; the number of parameters
 - ▶ CCC and DCC: volatilities and correlations estimated in two steps
 - ▶ applications: correlations in crises, portfolio VaR 1%, hedge ratios
- **Self-study chapter:** read the slides in order, redo the worked examples, run the notebook, then answer the self-assessment and the quiz
 - ▶ prerequisites: [Chapter 5](#) (GARCH), [Chapter 6](#) (VAR models), [Chapter 7](#) (cointegration)

Learning outcomes

- Explain why portfolio risk, hedging and contagion need a model for time-varying covariances
- Write the VEC, BEKK, CCC and DCC models and count their parameters
- Compute one step of the DCC recursion by hand and interpret a , b and $a + b$
- Estimate a DCC model in two steps and test it against constant correlations
- Compute and backtest a portfolio VaR 1% from H_t
- Compute dynamic minimum-variance hedge ratios and their hedging effectiveness

Reading and tools

- ▣ Textbook background: [Huang and Petukhina \(2022\)](#) (GARCH models); surveys: [Bauwens, Laurent and Rombouts \(2006\)](#), [Silvennoinen and Teräsvirta \(2009\)](#)
 - ▶ the original papers: [Bollerslev, Engle and Wooldridge \(1988\)](#) (VEC), [Engle and Kroner \(1995\)](#) (BEKK), [Bollerslev \(1990\)](#) (CCC), [Engle \(2002\)](#) (DCC)
- ▣ Python Quantlets of this chapter: [Quantlets/Ch_14](#)
 - ▶ step 1 (univariate GARCH) uses the `arch` package; step 2 (DCC) is written out in about 40 lines of `numpy`, because `arch` has no DCC
- ▣ Lecture notebook: [open in Google Colab](#)
- ▣ Video course:  [Applied Time Series Analysis with Python](#)

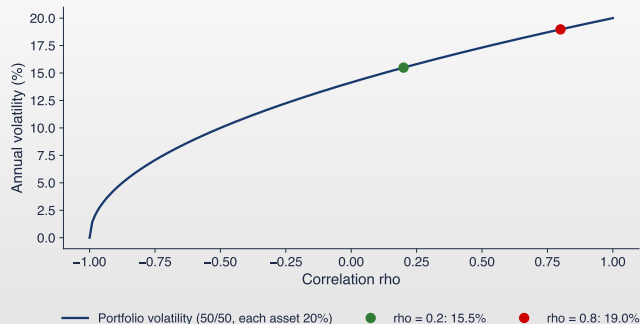
Three questions that need covariances

- **Portfolio risk:** the variance of a portfolio with weights w is $\sigma_p^2 = w^\top H w$ [Markowitz \(1952\)](#)
 - ▶ two assets: $\sigma_p^2 = w_1^2 \sigma_1^2 + w_2^2 \sigma_2^2 + 2w_1 w_2 \rho \sigma_1 \sigma_2$; the correlation ρ decides how much diversification helps
- **Hedging:** how many units of an asset to sell to offset the risk of another
 - ▶ the answer is a ratio of a covariance to a variance (Section 7)
- **Contagion:** do markets move more closely together in a crisis?
 - ▶ if correlations rise exactly when volatility rises, diversification fails when it is needed most [Longin and Solnik \(2001\)](#)
- A univariate GARCH ([Chapter 5](#)) gives $\sigma_{1,t}$ and $\sigma_{2,t}$; this chapter adds the time-varying ρ_t

Worked example: correlation and portfolio risk

- ▣ Two assets with annual volatility 20% each, weights 50% and 50%
- ▣ $\rho = 0.2$: $\sigma_p^2 = 0.25 \cdot 400 + 0.25 \cdot 400 + 2 \cdot 0.25 \cdot 0.2 \cdot 400 = 240$, so $\sigma_p = 15.5\%$
- ▣ $\rho = 0.8$: $\sigma_p^2 = 200 + 2 \cdot 0.25 \cdot 0.8 \cdot 400 = 360$, so $\sigma_p = 19.0\%$
- ▣ The same assets and weights: the risk of the portfolio rises by more than a fifth only because the correlation rose
 - ▶ a risk model that keeps ρ fixed at its calm-period value underestimates the risk in a crisis

Portfolio volatility against the correlation

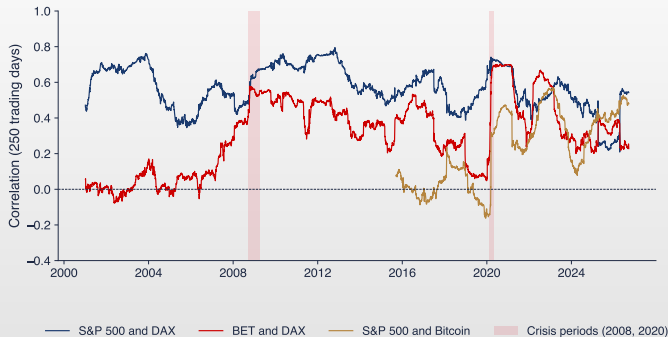


- A 50/50 portfolio of two assets with 20% volatility each; the points are the two cases of the worked example

Interpreting the diversification curve

- ▣ $\rho = 1$: no diversification, $\sigma_p = 20\%$; $\rho = 0$: $\sigma_p = 20/\sqrt{2} \approx 14.1\%$; $\rho = -1$: the risk disappears
- ▣ The curve is concave: a rise of ρ from 0.2 to 0.8 costs 15.5% $\rightarrow$ 19.0% of volatility
- ▣ The question of the chapter: does ρ stay put in real markets, or does it move with the state of the market?

Correlations change over time



- Correlation of daily log returns over rolling windows of 250 trading days (about one year), dated at the window end; returns on the days on which both markets trade; shaded: September 2008–March 2009 and February–April 2020

Interpreting the rolling correlations

- ▣ S&P 500 and DAX: between 0.21 (April 2026) and 0.80 (October 2012); full-sample value 0.60
 - ▶ the euro-area debt crisis of 2010–2012 tied the two markets even more closely than 2008
- ▣ BET and DAX: close to zero before 2007 (minimum -0.08), up to 0.70 in August 2020: the Romanian market became integrated with Europe after EU accession
- ▣ S&P 500 and Bitcoin: from -0.16 (December 2019) to 0.57 (February 2023); Bitcoin became a risk asset correlated with equities after 2020
- ▣ Correlations wander far from any constant value: a model must let them move

A trap: asynchronous trading

- Markets close at different hours: Bucharest at 16:45 CET (17:45 local time), Frankfurt at 17:30 CET, New York at 22:00 CET; Bitcoin trades all day, every day
 - ▶ news that arrives after the European close shows up in the European prices only the next day
- Example: 9 April 2025, the pause of the US tariffs announced in the afternoon in New York
 - ▶ 9 April: S&P 500 +9.1%, DAX -3.1%; 10 April: S&P 500 -3.5%, DAX +4.4%
 - ▶ the same news, on two different days: the daily correlation is biased towards zero
- Correlations of daily and weekly returns since 2015: S&P 500 and BET 0.32 against 0.46; S&P 500 and DAX 0.56 against 0.68; BET and DAX 0.42 against 0.47
 - ▶ the gap is small for BET and DAX, which close almost together; remedies: weekly returns or returns between synchronous times

Recap: Why multivariate volatility

- Portfolio variance $w^T H w$, hedge ratios and contagion all depend on covariances
- Rolling correlations of real markets move a lot: integration, crises, new asset classes
- Check the trading hours: asynchronous closes bias daily correlations towards zero

The model for N return series

- $r_t = \mu + \varepsilon_t$, $\varepsilon_t = H_t^{1/2} \eta_t$, η_t i.i.d. with mean 0 and covariance I_N
 - ▶ r_t : the vector of N returns on day t ; μ : the means (or a VAR model for the mean, [Chapter 6](#))
 - ▶ $H_t^{1/2}$: a square root of H_t , e.g. the Cholesky factor L_t with $L_t L_t^\top = H_t$
- $H_t = \text{Var}(r_t \mid \mathcal{F}_{t-1})$: the **conditional covariance matrix**, given the information $\mathcal{F}_{t-1}$ up to day $t-1$
 - ▶ diagonal: the conditional variances $h_{ii,t} = \sigma_{i,t}^2$ ([Chapter 5](#))
 - ▶ off-diagonal: the conditional covariances $h_{ij,t}$; the conditional correlation is $\rho_{ij,t} = h_{ij,t} / \sqrt{h_{ii,t} h_{jj,t}}$
- A **multivariate GARCH** (MGARCH) model is a rule that computes H_t from past shocks ε_{t-1} and past H_{t-1}

Two conditions on H_t

- **Symmetry:** $h_{ij,t} = h_{ji,t}$, so only $N(N+1)/2$ elements are distinct
 - ▶ the operator `vech` stacks the lower triangle: $\text{vech} \begin{pmatrix} h_{11} & h_{12} \\ h_{12} & h_{22} \end{pmatrix} = (h_{11}, h_{12}, h_{22})^\top$
 - ▶ $N = 2$: 3 elements; $N = 10$: 55; $N = 50$: 1275
- **Positive definiteness:** $w^\top H_t w > 0$ for every $w \neq 0$, i.e. every portfolio has a positive variance
 - ▶ $N = 2$: $h_{11,t} > 0$ and $h_{11,t}h_{22,t} - h_{12,t}^2 > 0$, i.e. $|\rho_{12,t}| < 1$
 - ▶ example: $h_{11} = 4$, $h_{22} = 1$, $h_{12} = 2.5$ gives $4 - 6.25 < 0$: an impossible “correlation” of 1.25
- A good MGARCH model guarantees both conditions for **every** t , with few parameters

Estimation by maximum likelihood

- If η_t follows the multivariate Normal distribution, the log-likelihood is
 - ▶ $\ell(\theta) = -\frac{1}{2} \sum_{t=1}^T \left(N \log 2\pi + \log |H_t| + \epsilon_t^\top H_t^{-1} \epsilon_t \right)$
 - ▶ $|H_t|$ is the determinant; for $N = 1$ this is the GARCH likelihood of [Chapter 5](#)
- Returns have fat tails, so the Normal likelihood is used as **quasi-maximum likelihood** (QML): the estimates stay consistent, the standard errors need a robust (sandwich) correction
- Every evaluation of $\ell(\theta)$ needs H_t^{-1} and $|H_t|$ for all t : the cost grows fast with N and with the number of parameters

Recap: The multivariate GARCH framework

- ▣ H_t : conditional variances on the diagonal, covariances off the diagonal; $\rho_{ij,t} = h_{ij,t} / \sqrt{h_{ii,t}h_{jj,t}}$
- ▣ Conditions: symmetry ($N(N+1)/2$ distinct elements) and positive definiteness
- ▣ Estimation by (quasi-)maximum likelihood with the multivariate Normal density

The VEC model

- **Bollerslev, Engle and Wooldridge (1988)**: every element of H_t depends on every past squared shock, cross-product and element of H_{t-1}
 - ▶ $\text{VEC}(1,1)$: $\text{vech}(H_t) = c + A \text{vech}(\epsilon_{t-1} \epsilon_{t-1}^\top) + B \text{vech}(H_{t-1})$
 - ▶ with $k = N(N+1)/2$: c has k elements, A and B are $k \times k$: in total $k + 2k^2$ parameters
- $N = 2$: $k = 3$ and 21 parameters; $N = 10$: 6 105
 - ▶ and positive definiteness of H_t is **not** guaranteed: it needs complicated restrictions
- **Diagonal VEC**: $h_{ij,t} = c_{ij} + a_{ij}\epsilon_{i,t-1}\epsilon_{j,t-1} + b_{ij}h_{ij,t-1}$
 - ▶ each element is a GARCH(1,1) of its own; $3k$ parameters (9 for $N = 2$); still no guarantee of positive definiteness

The BEKK model

- Engle and Kroner (1995): $H_t = CC^\top + A^\top \varepsilon_{t-1} \varepsilon_{t-1}^\top A + B^\top H_{t-1} B$
 - ▶ BEKK: Baba, Engle, Kraft and Kroner; C lower triangular, A and B are $N \times N$
- **Positive definite by construction:** each term is a “square” $X^\top M X$ of a positive (semi)definite matrix
 - ▶ parameters: $N(N+1)/2 + 2N^2$, i.e. 11 for $N = 2$ and 255 for $N = 10$
- **Diagonal BEKK** (A, B diagonal): $h_{12,t} = c_{12}^* + a_{11}a_{22} \varepsilon_{1,t-1} \varepsilon_{2,t-1} + b_{11}b_{22} h_{12,t-1}$
 - ▶ **scalar BEKK:** $A = aI, B = bI$, the same dynamics for all elements
- The off-diagonal elements of a full A measure **volatility spillovers**: a shock to asset 1 raises the variance of asset 2

Worked example: one step of a diagonal BEKK

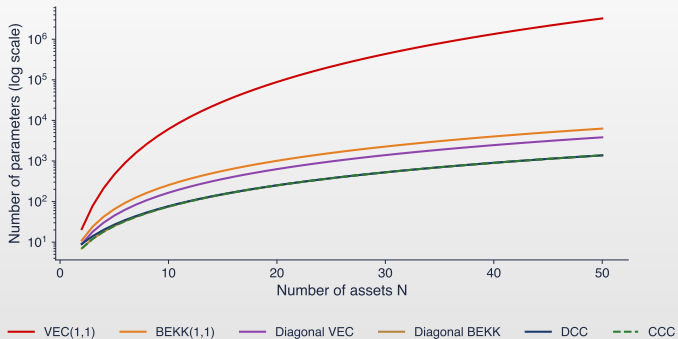
- Given: $c_{12}^* = 0.02$, $a_{11} = 0.30$, $a_{22} = 0.25$, $b_{11} = 0.94$, $b_{22} = 0.95$, $h_{12,t-1} = 0.5$; yesterday's shocks $\varepsilon_{1,t-1} = -2$, $\varepsilon_{2,t-1} = -1.5$
- Step 1: the coefficients $a_{11}a_{22} = 0.075$ and $b_{11}b_{22} = 0.893$
- Step 2: the cross-product of shocks $\varepsilon_{1,t-1}\varepsilon_{2,t-1} = 3.000$ (both negative: a joint fall)
- Step 3: $h_{12,t} = 0.020 + 0.075 \cdot 3.000 + 0.893 \cdot 0.5 = 0.020 + 0.225 + 0.4465 = 0.6915$
- A joint fall raises the covariance from 0.5 to 0.6915; a shock of opposite signs would have lowered it
 - note: a diagonal BEKK has no spillovers, because $a_{12} = a_{21} = 0$

The curse of dimensionality

Model	$N = 2$	$N = 5$	$N = 10$	$N = 50$
VEC(1,1)	21	465	6 105	3 252 525
Diagonal VEC	9	45	165	3 825
BEKK(1,1)	11	65	255	6 275
Diagonal BEKK	7	25	75	1 375
Scalar BEKK	5	17	57	1 277
CCC	7	25	75	1 375
DCC	9	27	77	1 377

- Number of parameters of the variance equation (the means μ are not counted); CCC and DCC: 3 GARCH parameters per asset plus the $N(N - 1)/2$ correlations, and 2 more for DCC
- A full VEC for 50 assets has more parameters than any sample has observations

Parameters against the number of assets



□ Number of parameters of the variance equation for $N = 2, \dots, 50$ assets, log scale

Interpreting the parameter counts

- VEC grows like $N^4/2$, full BEKK like $2N^2$: both become impossible to estimate beyond a handful of assets
- CCC and DCC grow like $N^2/2$, but the correlations are **not** found by numerical optimisation: they are sample correlations (Section 4)
 - ▶ the DCC optimiser works on only 2 parameters, a and b , whatever N
- The price of parsimony: all pairs share the same correlation dynamics

Recap: VEC and BEKK

- VEC: the most general linear model; $k + 2k^2$ parameters, no positive-definiteness guarantee
- BEKK: positive definite by construction; off-diagonal a_{ij} measure volatility spillovers
- Diagonal and scalar versions cut the parameters but remove the spillovers

Splitting volatilities and correlations

- Decomposition: $H_t = D_t R_t D_t$, $D_t = \text{diag}(\sigma_{1,t}, \dots, \sigma_{N,t})$
 - ▶ R_t : the conditional correlation matrix (ones on the diagonal); element by element: $h_{ij,t} = \rho_{ij,t} \sigma_{i,t} \sigma_{j,t}$
 - ▶ each $\sigma_{i,t}$ is a univariate GARCH(1,1) [Bollerslev \(1986\)](#): $\sigma_{i,t}^2 = \omega_i + \alpha_i \varepsilon_{i,t-1}^2 + \beta_i \sigma_{i,t-1}^2$
- **Standardised residuals**: $z_{i,t} = \varepsilon_{i,t} / \sigma_{i,t}$; their conditional covariance matrix is exactly R_t
- **CCC** (constant conditional correlation, [Bollerslev \(1990\)](#)): $R_t = R$ for all t
 - ▶ H_t is positive definite whenever R is; R is estimated by the sample correlation of the $z_{i,t}$
 - ▶ covariances still move, but only through the volatilities; the rolling correlations of Section 1 reject this

Robert Engle and the DCC model



- Engle (2002): let the correlations follow a GARCH-like recursion
 - ▶ $Q_t = (1 - a - b) \bar{Q} + a z_{t-1} z_{t-1}^\top + b Q_{t-1}$
 - ▶ $\rho_{ij,t} = q_{ij,t} / \sqrt{q_{ii,t} q_{jj,t}}$: the rescaling puts ones on the diagonal
- $\bar{Q}$: the unconditional correlation of z_t , set to its sample value (**correlation targeting**)
 - ▶ $a \geq 0$: reaction to yesterday's joint shock; $b \geq 0$: persistence; $a + b < 1$: mean reversion to $\bar{Q}$
- $a = b = 0$ gives back CCC

Robert F. Engle (b. 1942), Nobel Prize 2003

Photo: Jon Demske (2022); CC BY-SA 4.0;

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Two-step estimation

- The log-likelihood splits into a volatility part and a correlation part: $\ell = \ell_V(\theta_1) + \ell_C(\theta_1, a, b)$
- **Step 1:** fit a GARCH(1,1) to each series separately ([Chapter 5](#)); keep $\hat{\sigma}_{i,t}$ and $\hat{z}_{i,t} = \hat{\varepsilon}_{i,t}/\hat{\sigma}_{i,t}$
- **Step 2:** set $\bar{Q}$ to the sample correlation of $\hat{z}_t$ and maximise over (a, b) only
 - ▶ $\ell_C(a, b) = -\frac{1}{2} \sum_t \left(\log |R_t| + \hat{z}_t^\top R_t^{-1} \hat{z}_t - \hat{z}_t^\top \hat{z}_t \right)$
- Consistent, fast, works for large N ; the step-2 standard errors ignore the estimation error of step 1 (they are too small)
- **Test against CCC:** likelihood ratio $LR = 2(\ell_C^{DCC} - \ell_C^{CCC})$, compared with $\chi^2(2)$ (5% critical value 5.99); also [Tse \(2000\)](#)
 - ▶ $a = b = 0$ lies on the boundary of the parameter space, so the $\chi^2(2)$ critical value is conservative

Worked example: one step of the DCC recursion

- Given: $a = 0.05$, $b = 0.93$, $\bar{q}_{12} = 0.5$ (and $\bar{q}_{11} = \bar{q}_{22} = 1$), $Q_{t-1} = \begin{pmatrix} 1 & 0.5 \\ 0.5 & 1 \end{pmatrix}$, yesterday $z_{1,t-1} = -2$, $z_{2,t-1} = -2.5$
- Step 1: $1 - a - b = 0.020$
- Step 2: $q_{12,t} = 0.020 \cdot 0.5 + 0.05 \cdot (-2)(-2.5) + 0.93 \cdot 0.5 = 0.010 + 0.250 + 0.465 = 0.725$
- Step 3: $q_{11,t} = 0.020 + 0.05 \cdot 4 + 0.93 = 1.150$; $q_{22,t} = 0.020 + 0.05 \cdot 6.25 + 0.93 = 1.2625$
- Step 4: $\rho_{12,t} = 0.725 / \sqrt{1.150 \cdot 1.2625} = 0.602$
 - ▶ a large joint fall raises tomorrow's correlation from 0.50 to 0.602; without step 3 the “correlation” $q_{12,t}$ would be 0.725

Reading a and b

- ▣ a is the **news** coefficient: how much one day's joint shock moves the correlation; typical daily values 0.01–0.05
- ▣ $a + b$ is the **persistence**: a deviation of $q_{ij,t}$ from $\bar{q}_{ij}$ shrinks by the factor $a + b$ each day
 - ▶ half-life: $\ln 0.5 / \ln(a + b)$ days; $a + b = 0.98$ gives 34 days, 0.99 gives 69 days
- ▣ The same reading as α and $\alpha + \beta$ in a GARCH(1,1) ([Chapter 5](#))
- ▣ Variants: asymmetric DCC (joint falls move correlations more than joint rises) [Cappiello, Engle and Sheppard \(2006\)](#); corrected DCC [Aielli \(2013\)](#)

Recap: CCC and DCC

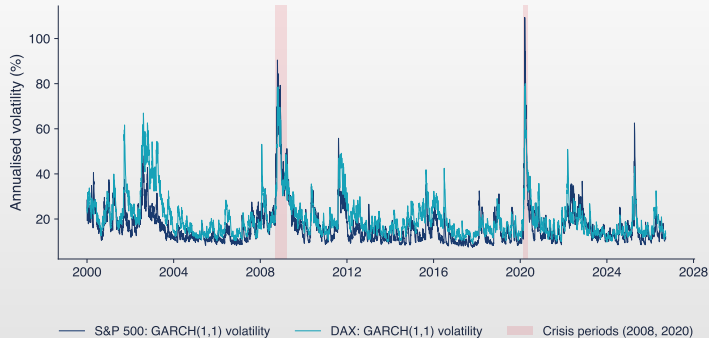
- ▣ $H_t = D_t R_t D_t$: GARCH volatilities times a correlation matrix
- ▣ CCC: R constant; DCC: Q_t follows a GARCH-like recursion with parameters a, b
- ▣ Two steps: univariate GARCH, then (a, b) with correlation targeting; LR test against CCC

Step 1: two univariate GARCH models

Index	μ	ω	α	β	$\alpha + \beta$	kurt. r_t	kurt. z_t
S&P 500	0.063	0.027	0.122	0.857	0.980	10.5	1.8
DAX	0.067	0.030	0.098	0.886	0.984	6.2	1.4

- Daily log returns in %, 6 605 common trading days, 4 January 2000–18 September 2026 (EODHD); GARCH(1,1) with a constant mean, Gaussian QML; kurt.: excess kurtosis
- Standardising by $\hat{\sigma}_{i,t}$ removes most of the excess kurtosis, but not all: the tails of z_t are still fatter than Normal
- Correlation of the returns 0.599; correlation of the residuals $\bar{q}_{12} = 0.575$, the CCC estimate

Step 1: conditional volatilities



- One-step-ahead GARCH(1,1) volatility $\hat{\sigma}_{i,t}\sqrt{252}$, annualised, in %; shaded: the crises of 2008 and 2020

Interpreting the volatilities

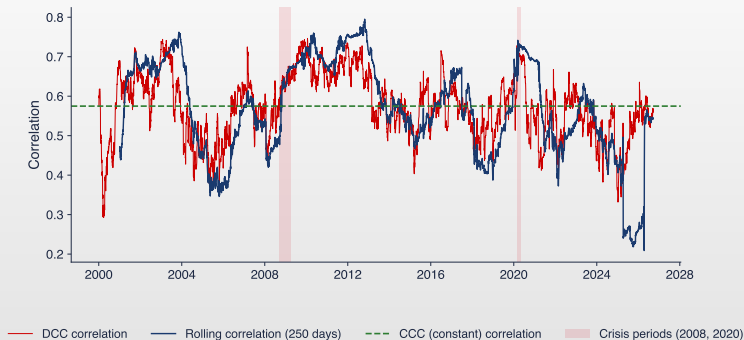
- Both volatilities peak in the same weeks: S&P 500 109% on 17 March 2020, DAX 80% on 25 March 2020
 - ▶ volatility clustering happens **jointly**: the covariance rises even with a constant correlation
- Persistence 0.980 and 0.984: volatility shocks fade slowly, as in [Chapter 5](#)
- Step 2 asks a different question: once the volatilities are removed, is the remaining correlation constant?

Step 2: the estimated DCC

Quantity	Estimate	SE
a	0.0152	0.0035
b	0.9766	0.0065
$a + b$	0.9918	
Half-life of a correlation shock (days)	85	
LR against CCC	131.8	
$\chi^2(2)$ critical value, 5%	5.99	

- ▣ a is small but well determined; $a + b$ is close to 1: correlation shocks last for months
- ▣ $LR = 131.8$ is far above 5.99: constant correlation is rejected
- ▣ SE: standard errors from the step-2 Hessian (too small, they ignore step 1)

DCC correlation of the S&P 500 and the DAX

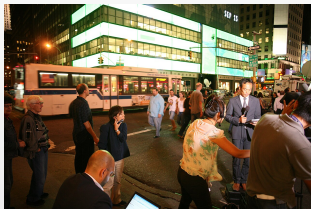


- One-step-ahead DCC correlation $\hat{\rho}_{12,t}$, the 250-day rolling correlation and the CCC value $\bar{q}_{12}$; daily, 4 January 2000–18 September 2026

Interpreting the DCC correlation

- The DCC correlation ranges from 0.29 (March 2000) to 0.75 (January 2010), around a mean of 0.57
- It follows the rolling correlation, but reacts within days instead of a year and has no window to choose
 - ▶ the rolling estimate is more erratic (standard deviation 0.122 against 0.083) and jumps when an extreme day enters or leaves the window
- The rolling estimate falls sharply in 2025–2026: the asynchronous days of April 2025 (Section 1) pull it down for exactly 250 days

Correlations in crises



Lehman Brothers, New York, 15 September 2008

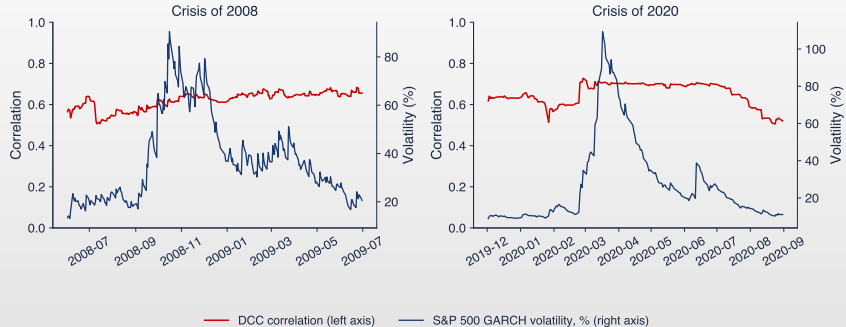
Photo: Robert Scoble (2008); CC BY 2.0; Wikimedia

[Commons](#)

Period	$\bar{\rho}^{DCC}$	$\bar{\sigma}^{S\&P}$ (%)
Calm, 2017–2019	0.56	13
Sept 2008–March 2009	0.63	51
Feb–April 2020	0.70	58

- Average DCC correlation and average annualised S&P 500 volatility in each period
- Correlations are higher in crises, but volatility rises far more
- Caution [Forbes and Rigobon \(2002\)](#): the sample correlation rises mechanically when volatility rises, even if the link is unchanged; DCC reduces this effect because it works with z_t , not with r_t

Inside the crises of 2008 and 2020



- DCC correlation of the S&P 500 and the DAX (left axis) and the GARCH volatility of the S&P 500 (right axis)

Interpreting the two crises

- ▣ 2008: volatility peaks at 90% on 16 October 2008, while the correlation drifts up from 0.57 to 0.68 only by 23 June 2009
- ▣ 2020: the correlation jumps to 0.73 on 28 February 2020, before the volatility peak (109% on 17 March 2020)
 - ▶ a global shock hit both markets on the same days: joint falls drive the DCC recursion
- ▣ Correlations and volatilities need not peak together: modelling them separately, as DCC does, shows the difference

Recap: S&P 500 and DAX

- Step 1: persistent GARCH volatilities that peak together
- Step 2: $a + b = 0.9918$; LR 131.8: the correlation is not constant
- Higher correlations in 2008 and 2020, but the largest change is in volatility

A five-asset DCC



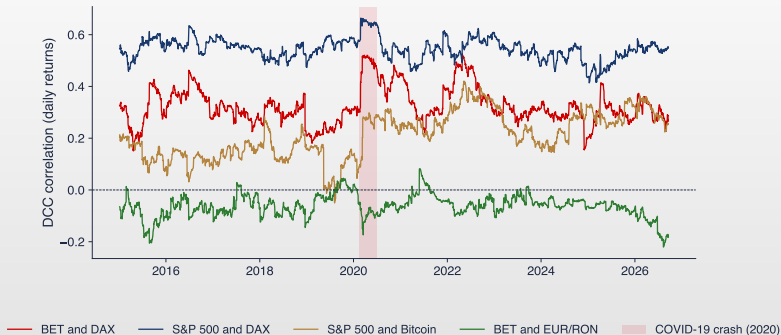
The Bucharest Stock Exchange

Photo: Corina Chitu (2024); CC BY-SA 4.0; Wikimedia

[Commons](#)

- Daily log returns on the 2815 days on which all five markets trade, from 6 January 2015
 - ▶ EUR/RON: the BNR reference rate (fixed at 13:00 Bucharest time);
BET: Bucharest Stock Exchange; Bitcoin: close of the day (UTC)
- Step 1: GARCH persistence S&P 500 0.961, DAX 0.965, BET 0.941, EUR/RON 0.985, Bitcoin 0.958
- Step 2: $\hat{a} = 0.0088$ (SE 0.0019), $\hat{b} = 0.9782$ (SE 0.0062); half-life 53 days; LR against CCC 88.5
 - ▶ 10 correlation pairs, one pair of dynamics parameters (a, b) for all of them

Dynamic correlations of four pairs



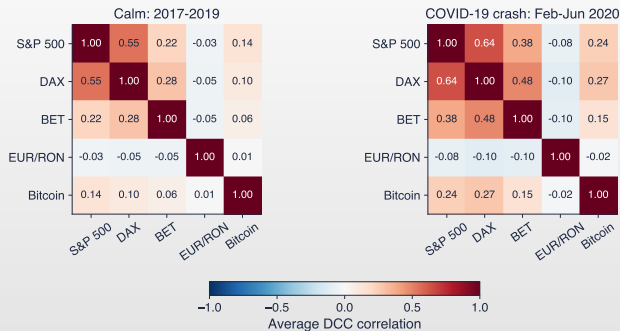
□ One-step-ahead DCC correlations from the five-asset model; shaded: the COVID-19 crash, mid-February–June 2020

TSA_ch14_dcc_panel

Interpreting the four pairs

- ▣ S&P 500 and DAX: the strongest link, mean 0.54; BET and DAX: mean 0.32, between 0.15 and 0.53 (April 2022)
- ▣ S&P 500 and Bitcoin: from -0.05 to 0.42 (May 2022); mean 0.21
 - ▶ the diversification benefit of Bitcoin shrank after 2020
- ▣ BET and EUR/RON: close to zero (mean -0.06); a weaker leu tends to come with a weaker BET, a small negative link
- ▣ One (a, b) for all pairs: pairs with different speeds are forced to the same rhythm, the price of DCC's parsimony

Average correlations: calm against crisis



□ Average one-step-ahead DCC correlation matrix: 2017–2019 and mid-February–June 2020 (89 common trading days)

 TSA_ch14_dcc_panel

Interpreting the two matrices

- ▣ The average pairwise correlation rises from 0.12 to 0.19
 - ▶ BET and DAX: $0.28 \rightarrow 0.48$; S&P 500 and BET: $0.22 \rightarrow 0.38$; DAX and Bitcoin: $0.10 \rightarrow 0.27$
- ▣ The largest rises are for the BET and for Bitcoin, which are weakly linked to the large markets in calm times: exactly the assets that were supposed to diversify
- ▣ EUR/RON stays near zero or slightly negative with all equity markets: the only diversifier in this set

Recap: Five markets

- ▣ One DCC for 5 assets: 2 dynamics parameters for 10 correlations
- ▣ Correlations of the Romanian market with Europe and of Bitcoin with equities move a lot
- ▣ In the 2020 crash the weak links strengthened most: diversification weakens in crises

From H_t to the VaR of a portfolio

- Portfolio return $r_{p,t} = \mathbf{w}^\top \mathbf{r}_t$; conditional mean $\mu_p = \mathbf{w}^\top \boldsymbol{\mu}$ and volatility $\sigma_{p,t} = \sqrt{\mathbf{w}^\top \mathbf{H}_t \mathbf{w}}$
- **VaR 1%**: the loss exceeded with probability 1%, $\text{VaR}_{0.01,t} = -q_{0.01}(r_{p,t}) = -(\mu_p + q \sigma_{p,t})$
 - ▶ Normal: $q = z_{0.01} = -2.326$
 - ▶ **filtered historical simulation** (FHS): q = the empirical 1% quantile of the past standardised portfolio returns $(r_{p,t} - \mu_p)/\sigma_{p,t}$
- Three choices of H_t : DCC; CCC (GARCH volatilities with a constant correlation); **static** (one sample covariance matrix for all days)

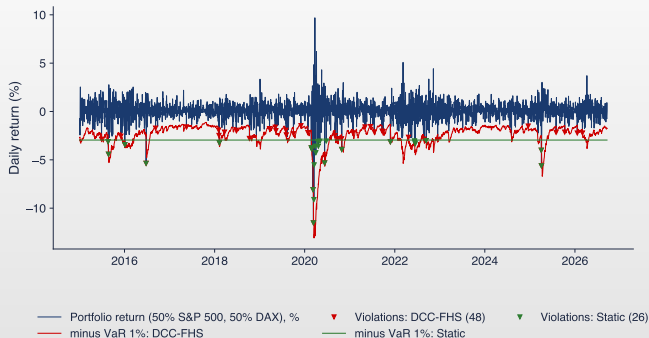
Worked example: VaR 1% of two assets

- Today's forecasts: $\sigma_1 = 1.5\%$, $\sigma_2 = 1.2\%$ (daily), weights 50% and 50%, mean 0
- Calm, $\rho_t = 0.3$: $\sigma_p^2 = 0.25 \cdot 2.25 + 0.25 \cdot 1.44 + 2 \cdot 0.25 \cdot 0.3 \cdot 1.8$, so $\sigma_p = 1.092\%$ and VaR 1%
 $= 2.326 \cdot 1.092 = 2.54\%$
- Crisis, $\rho_t = 0.9$ (the same volatilities): $\sigma_p = 1.316\%$ and VaR 1% = 3.06%
 - ▶ the jump of the correlation alone adds a fifth to the VaR; in a real crisis the volatilities rise too
- For a portfolio of 1 million lei: VaR 1% of about 25.4 thousand lei in calm times and 30.6 thousand lei in the crisis case

Backtesting a VaR

- A **violation** on day t : $r_{p,t} < -\text{VaR}_{0.01,t}$; a correct VaR 1% has violations on 1% of the days, at random times
- **Kupiec test** [Kupiec \(1995\)](#) (frequency): x violations in n days, $\hat{p} = x/n$
 - ▶ $LR_{uc} = -2 \log \frac{(1 - 0.01)^{n-x} 0.01^x}{(1 - \hat{p})^{n-x} \hat{p}^x} \sim \chi^2(1)$; reject at 5% if $LR_{uc} > 3.84$
- **Christoffersen test** [Christoffersen \(1998\)](#) (independence): is a violation more likely the day after a violation?
 - ▶ compares $\pi_{11} = P(\text{violation} \mid \text{violation yesterday})$ with $\pi_{01} = P(\text{violation} \mid \text{no violation yesterday})$
- **Honest design**: estimate all parameters on 2000–2014 (3 712 days), then run the filters forward on 2015–2026 (2 893 days) without re-estimating

VaR 1% of an S&P 500 and DAX portfolio, 2015–2026



- Daily return of a 50/50 portfolio and minus VaR 1% from DCC with filtered historical simulation and from a static covariance matrix; triangles: violations

Interpreting the backtest

Model	Violations	Rate	LR_{uc}	p	p indep.	Feb–Apr 2020
DCC, Normal	65	2.25%	33.6	< 0.001	0.003	4
DCC, FHS	48	1.66%	10.6	0.001	0.008	4
CCC, Normal	57	1.97%	21.4	< 0.001	0.030	4
Static, Normal	26	0.90%	0.3	0.577	0.001	10

- Expected: about 29 violations in 2 893 days
- Dynamic models with Normal quantiles have too many violations: the residuals have fat tails ([Chapter 5](#)); FHS ($q = -2.59$) brings the rate down to 1.66%
- The static VaR passes the frequency test, but its violations cluster: 10 in February–April 2020 alone, and after a violation the next day is a violation with probability 11.5%
- The static VaR is too high in calm years (2.95% every day) and far too low in a crash; a dynamic VaR adapts in both directions

Recap: Portfolio VaR

- $\sigma_{p,t} = \sqrt{\mathbf{w}^\top \mathbf{H}_t \mathbf{w}}$; VaR 1% = $-(\mu_p + q \sigma_{p,t})$
- Backtest out of sample: Kupiec (frequency) and Christoffersen (independence)
- Dynamic covariances fix the clustering of violations; fat tails need a better quantile than the Normal

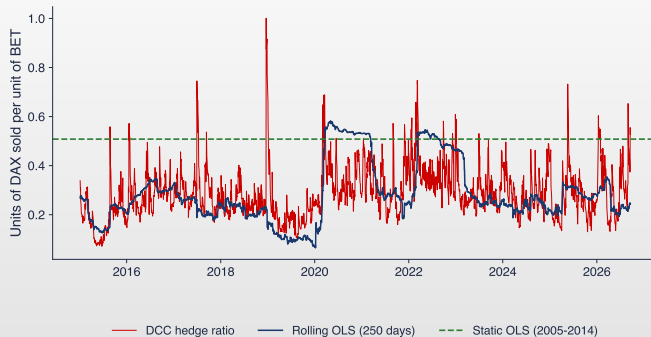
The minimum-variance hedge ratio

- Hold one unit of asset s (e.g. Romanian shares, the BET) and sell h units of a hedging asset f (e.g. a DAX futures contract)
 - ▶ hedged return $r_{s,t} - h r_{f,t}$, with variance $\sigma_s^2 - 2h\sigma_{sf} + h^2\sigma_f^2$
- Setting the derivative in h to zero: $h^* = \frac{\sigma_{sf}}{\sigma_f^2} = \rho \frac{\sigma_s}{\sigma_f}$ Ederington (1979)
 - ▶ static h^* : the OLS slope of r_s on r_f ; **dynamic**: $h_t^* = h_{sf,t}/h_{ff,t}$ from an MGARCH model Kroner and Sultan (1993)
- **Hedging effectiveness**: $HE = 1 - \text{Var}(r_s - h r_f)/\text{Var}(r_s)$, the share of the variance removed
 - ▶ with $h = h^*$ constant: $HE = \rho^2$; a hedge is only as good as the correlation

Worked example: a hedge ratio

- Given: $\sigma_s = 1.2\%$, $\sigma_f = 1.0\%$ (daily), $\rho = 0.8$
- Step 1: $\sigma_{sf} = \rho \sigma_s \sigma_f = 0.8 \cdot 1.2 \cdot 1.0 = 0.96$
- Step 2: $h^* = \sigma_{sf} / \sigma_f^2 = 0.96 / 1 = 0.96$: sell 0.96 units of f per unit of s
- Step 3: $HE = \rho^2 = 0.64$; the hedged volatility is $\sigma_s \sqrt{1 - \rho^2} = 0.72\%$ instead of 1.2%
- If tomorrow DCC forecasts $\rho_t = 0.5$ and $\sigma_{f,t} = 2\%$, the hedge ratio becomes $0.5 \cdot 1.2 / 2 = 0.3$: the position must be adjusted

Hedging the BET with the DAX, 2015–2026



- Daily returns on common trading days since 2005; all parameters estimated on 2005–2014; DCC: $h_t = \hat{\rho}_t \hat{\sigma}_{BET,t} / \hat{\sigma}_{DAX,t}$; rolling OLS: the slope over the previous 250 days

Interpreting the hedge ratios

- ▣ The static ratio 0.51 reflects 2005–2014, which includes the 2008 crisis; after 2015 the DCC ratio averages 0.29, from 0.07 to 1.00 (20 December 2018)
- ▣ Hedging effectiveness out of sample (2893 days): static 13.6%, rolling OLS 18.0%, DCC 19.1%
 - ▶ the dynamic ratios remove more risk, and DCC does so without choosing a window
- ▣ All effectiveness values are modest: the BET–DAX DCC correlation averages 0.32 since 2015, so ρ^2 is small
 - ▶ a daily DCC ratio also implies daily trading costs, which are not counted here

Recap: Hedging

- ▣ $h_t^* = h_{sf,t}/h_{ff,t} = \rho_t \sigma_{s,t}/\sigma_{f,t}$; $HE = 1 - \text{Var}(\text{hedged})/\text{Var}(\text{unhedged})$
- ▣ BET with DAX: DCC 19.1% against static 13.6% out of sample
- ▣ Judge a hedge out of sample and after trading costs

Links with Chapters 5, 6 and 7

- ▣ **Chapter 5:** every MGARCH model contains univariate GARCH models; in DCC they are literally step 1
- ▣ **Chapter 6:** a VAR models spillovers in the **mean** (e.g. whether yesterday's DAX return helps to forecast today's BET return); BEKK with a full A models spillovers in the **variance**
 - ▶ the two combine: a VAR for μ_t and an MGARCH for H_t ; spillover indices from variance decompositions [Diebold and Yilmaz \(2009\)](#)
- ▣ **Chapter 7:** cointegration is a **long-run** link between price levels; correlation is a **short-run** link between returns
 - ▶ two prices can be highly correlated day by day and drift apart for ever, or cointegrated with low daily correlation
 - ▶ a VECM can carry a DCC error term: equilibrium in the mean, dynamic correlation in the shocks

Limits and extensions



Frankfurt Stock Exchange

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- One (a, b) for all pairs; no spillovers between volatilities in DCC
- Normal QML underestimates the tails: use Student t innovations or FHS for risk
- Asymmetry: correlations react more to joint falls (asymmetric DCC, [Cappiello, Engle and Sheppard \(2006\)](#))
- Hundreds of assets: factor models, composite likelihood and shrinkage of $\bar{Q}$
- Correlation is linear dependence; for joint extremes see copulas and tail dependence [Longin and Solnik \(2001\)](#)

Possible contribution of AI

- ▣ **Code:** a first draft of the DCC likelihood, of a BEKK filter, of a Kupiec test
- ▣ **Explanation:** a second explanation of $D_t R_t D_t$, of correlation targeting, of the hedge-ratio formula
- ▣ **Exploration:** DCC for many pairs (CEE markets, sectors, currencies) and their behaviour in crises
- ▣ Example prompt
 - Write Python code that fits a GARCH(1,1) to daily BET and DAX log returns on common trading days, estimates a DCC(1,1) model by two-step maximum likelihood with correlation targeting, plots the dynamic hedge ratio and compares its out-of-sample hedging effectiveness with static OLS.

Checks you must run

- ▣ The library: `arch` has no DCC model; an AI answer that calls `arch_model(..., vol='DCC')` has invented it
- ▣ The timing: Q_t must use z_{t-1} , not z_t ; otherwise the VaR and the hedge use tomorrow's information
- ▣ The rescaling: $\rho_{ij,t} = q_{ij,t} / \sqrt{q_{ii,t}q_{jj,t}}$, and every R_t must have ones on the diagonal and $|\rho| < 1$
- ▣ The calendars: align prices on common trading days before computing returns; watch asynchronous closes
- ▣ The evaluation: estimate on one period and test on another; simulate a DCC with known (a, b) and check that the code recovers it
- ▣ Every cited reference: it must exist; check the DOI

Key takeaways

- ▣ Portfolio risk, hedging and contagion depend on time-varying covariances H_t
- ▣ VEC is general but has too many parameters; BEKK is positive definite by construction and measures spillovers
- ▣ CCC and DCC split $H_t = D_t R_t D_t$ and are estimated in two steps; DCC needs only (a, b) in step 2
- ▣ Real correlations move: integration, crises, new assets; constant correlation is rejected
- ▣ Applications: portfolio VaR 1% with backtesting; dynamic hedge ratios judged out of sample

Key formulas

Quantity	Formula
Correlation	$\rho_{ij,t} = h_{ij,t} / \sqrt{h_{ii,t} h_{jj,t}}$
BEKK(1,1)	$H_t = CC^\top + A^\top \epsilon_{t-1} \epsilon_{t-1}^\top A + B^\top H_{t-1} B$
CCC, DCC	$H_t = D_t R_t D_t, \quad D_t = \text{diag}(\sigma_{i,t})$
DCC	$Q_t = (1 - a - b)\bar{Q} + a z_{t-1} z_{t-1}^\top + b Q_{t-1}, \quad \rho_{ij,t} = q_{ij,t} / \sqrt{q_{ii,t} q_{jj,t}}$
Half-life	$\ln 0.5 / \ln(a + b)$
Portfolio VaR 1%	$-(w^\top \mu + q_{0.01} \sqrt{w^\top H_t w})$
Hedge ratio	$h_t^* = h_{sf,t} / h_{ff,t}, \quad HE = 1 - \text{Var}(r_s - hr_f) / \text{Var}(r_s)$

Self-assessment (1/2)

- **Question:** how many parameters does a diagonal BEKK(1,1) have for $N = 3$?
▶ **Answer:** $N(N + 1)/2 + 2N = 6 + 6 = 12$
- **Question:** $h_{11} = 1$, $h_{22} = 4$, $h_{12} = 1.2$. What is the correlation, and is the matrix positive definite?
▶ **Answer:** $\rho = 1.2/\sqrt{4} = 0.6$; yes, $1 \cdot 4 - 1.44 > 0$
- **Question:** DCC with $a = 0.02$, $b = 0.97$, $\bar{q}_{12} = 0.4$, $q_{11,t-1} = q_{22,t-1} = 1$, $q_{12,t-1} = 0.4$ and $z_{t-1} = (1, -1)$. What is $q_{12,t}$?
▶ **Answer:** $0.01 \cdot 0.4 + 0.02 \cdot (-1) + 0.97 \cdot 0.4 = 0.372$; opposite moves lower the correlation
- **Question:** what is the half-life of correlation shocks when $a + b = 0.95$?
▶ **Answer:** $\ln 0.5 / \ln 0.95 \approx 13.5$ days

Self-assessment (2/2)

- **Question:** $\sigma_s = 2\%$, $\sigma_f = 1\%$, $\rho = 0.5$. What are the hedge ratio and the hedging effectiveness?
 - ▶ **Answer:** $h^* = 0.5 \cdot 2/1 = 1$; $HE = 0.25$
- **Question:** a VaR 1% has 26 violations in 2 500 days, 10 of them in one month. Is it a good VaR?
 - ▶ **Answer:** the frequency is fine (expected 25), but the violations cluster: it fails the independence test and does not adapt to crises
- **Question:** why can the daily correlation of the S&P 500 and the BET be lower than the weekly one?
 - ▶ **Answer:** asynchronous trading: news from New York reaches Bucharest the next day, so daily returns of the same day do not match
- **Question:** does a higher correlation in a crisis prove contagion?
 - ▶ **Answer:** not by itself: higher volatility raises the sample correlation mechanically [Forbes and Rigobon \(2002\)](#); compare correlations of standardised residuals
- **Next:** Chapter 15, review and exam preparation; check yourself with the quiz of this chapter

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